

This is the second term for President-elect Trump, who will be sworn in on January 20, 2025. During his first term from 2017 to 2021, India-US trade relations saw several issues crop up and the then US Trade Representative Robert Lighthizer was seen as an arch protectionist and tough negotiator.

“From Trump’s perspective, India has high tariffs, and he has repeatedly labelled it the ‘tariff king’ over the past five years, citing examples like the 100% tariff on Harley-Davidson motorcycles and 150% on American whisky. Trump’s emphasis on ‘reciprocal tariffs’ could pressure India to consider tariff reforms, even though India’s rates are within WTO norms,” points out Ajay Srivastava, Founder of economic think tank Global Trade Research Initiative (GTRI). India’s average tariff of 17% is indeed higher than the US’s 3.3%, but comparable to

countries like South Korea (13.4%) and China (7.5%), he highlights.

“Tariff is an issue very dear to him and I believe he has singled out India. I believe he will soon be sending out a list of items on which he wants a reduction in tariff. We have done this exercise in his last administration and when we check our imports under that tariff list, we see that most of these come from China and not from the US. If India lowers the duty, the benefits will go to China and that’s a dilemma for India,” he says. Second, the US would want India to lower tariffs, mostly on agricultural items, and that is a big no-no for India, he adds.

Anup Wadhawan, India’s former commerce secretary, is of the view that the Trump presidency will not in any way even remotely undermine the basis of the bilateral relationship, and issues come up in any relation

\$87.3

BILLION

**AMERICA'S IMPORTS
FROM INDIA IN 2023;
THE NUMBER WAS \$9.7
BILLION IN 2001**

THE GIANT

THE PRESIDENT-ELECT'S ECONOMIC POLICY

LOWER TAXES Cut corporate taxes to 15% from current 21% for companies that decide to manufacture in the US

HIGHER TARIFFS Trump has proposed increasing tariffs on Chinese imports into the US by 60-100% and on other imports by 10-20%

IMMIGRATION RESTRICTIONS Deport illegal immigrants, put in visa restrictions, and discourage legal immigration

OIL SUPPLIES Trump's focus on drilling could lead to increased oil production by the US that could help lower global prices

IMPACT THESE POLICIES COULD BOOST US ECONOMIC GROWTH AND STRENGTHEN THE DOLLAR BUT COULD ALSO LEAD TO HIGHER INFLATION AND TIGHTER MONETARY POLICY

